



July 18, 2022

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Dear Sirs:

This Letter of Agreement (“LOA”) outlines the commitments made by FLAG Telecom Limited (“FLAG”), GCX Holdings Limited (“GCX”), and 3i Infrastructure plc (“3iN”, collectively “the Parties”), to the U.S. Department of Homeland Security (“DHS”) and the U.S. Department of Defense (“DOD”) (collectively, the “Compliance Monitoring Agencies” or “CMAs”) to address national security and law enforcement risks raised with regard to an application<sup>1</sup> filed by FLAG and Reef Bidco Limited (“RBL”), a subsidiary of 3iN, with the Federal Communications Commission (“FCC”) requesting authority to transfer control of FLAG, including the cable landing license for the FLAG Atlantic-1 Cable System (“FA-1”),<sup>2</sup> to RBL. FA-1 connects the United States, France, and the United Kingdom.

The Parties certify as true and correct, under penalties outlined in 18 U.S.C. § 1001, all statements the Parties or their representatives have made to the U.S. Department of Justice, including the Federal Bureau of Investigation, DHS, DOD, and the FCC in the course of the reviews of the above-referenced applications that were conducted pursuant to Executive Order 13913 and hereby adopt those statements as the basis for this LOA.

The Parties have agreed to provide this LOA to the CMAs and understand that upon execution of this LOA, the CMAs will recommend that the Committee for the Assessment of Foreign Participation in the United States Telecommunications Services Sector advise the FCC to grant the application contingent upon compliance with this LOA. Further, upon the FCC granting this application conditioned on this LOA, the November 25, 2020 Letter of Assurances, executed by Global Cloud Xchange Holdings Limited and FLAG to DHS, is superseded by this LOA,

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<sup>1</sup> SCL-T/C-20211124-00049; TT 21-086 to -090.

<sup>2</sup> FCC File Nos. SCL-LIC-19990301-00005 and SCL-MOD-20040211-00006.



however, it will be a violation of this LOA to fail to complete to the CMAs' satisfaction any outstanding obligations to DHS under the 2020 LOA.

For purposes of this LOA:

- A. "Access" means the ability to physically or logically undertake any of the following actions: (a) read, divert, or otherwise obtain non-public information or technology from or about software, hardware, a system or a network; (b) add, edit, or alter information or technology stored on or by software, hardware, a system, or a network; and (c) alter the physical or logical state of software, hardware, a system, or a network (e.g., turning it on or off, changing configuration, removing or adding components or connections).
- B. "Cybersecurity Incident Response Plan" means a plan or processes put in place to develop and implement the appropriate activities to take action regarding a detected cybersecurity event that has been determined to have an impact on FA-1 prompting the need for response and recovery.
- C. "Domestic Communications" means: (a) Wire Communications or Electronic Communications (whether stored or not) between one U.S. location and another U.S. location; or (b) the U.S. portion of a Wire Communication or Electronic Communication (whether stored or not) that originates or terminates in the United States.
- D. "Domestic Communications Infrastructure" or "DCI" means: (a) any portion of FA-1 that physically is located in the United States, up to and including the submarine line terminating equipment ("SLTE"), including (if any) transmission, switching, bridging, and routing equipment, and any associated software (with the exception of commercial-off-the-shelf ("COTS") software used for common business functions, e.g., Microsoft Office) used by or on behalf of the Parties for FA-1 to provide, process, direct, control, supervise, or manage Domestic Communications; and (b) Network Operations Center ("NOC") facilities, as defined in Section G below.
- E. "Electronic Communication" has the meaning set forth in 18 U.S.C. § 2510(12).
- F. "Internet Protocol Detail Record" or "IPDR" means information about internet protocol-based usage and other activities that can be used by operation support systems and business systems by recording data statistics that provide network insight on capacity, subscriber usage, and proactive network maintenance.
- G. "Network Operations Center" or "NOC" means the locations and facilities designated as such by the Parties for purposes of performing network management, monitoring, maintenance, or other operational functions for FA-1.
- H. "Personally Identifiable Information" or "PII" means any information that uniquely identifies and correlates to a natural person or can be used to distinguish or trace a natural person's identity, alone, including his or her name, social security number, or biometric

records, or when combined with other personal or identifying information that is linked or linkable to a specific individual, including date and place of birth, or parent's surname.

- I. "Principal Equipment" means the primary electronic components of FA-1 that support the subsea cable system end-to-end. This term includes the DCI and Wet Infrastructure/Plant. Principal Equipment also includes, but is not limited to: network element servers; routers; switches; repeaters; SLTE; system supervisory equipment ("SSE"); signal modulators and amplifiers; power feed equipment ("PFE"); tilt and shape equalizer units ("TEQ/SEQ"); optical distribution frames ("ODF"); branching units ("BU"); synchronous optical network ("SONET"); synchronous digital hierarchy ("SDH"); wavelength selective switches ("WSS"); wave division multiplexing ("WDM"); dense wave division multiplexing ("DWDM"); coarse wave division multiplexing ("CWDM"); or optical carrier network ("OCx") equipment, as applicable; all software used to support FA-1 operations and services (with the exception of COTS software used for common business functions, *e.g.*, Microsoft Office); and other such equipment, whether physical or logical, that performs the functions of the equipment described in this definition that is being employed or otherwise used on FA-1, or which the Parties have definitive plans to employ or otherwise use on FA-1.
- J. "Screened Personnel" has the meaning given it in Section 11 below.
- K. "Security" means a condition that results from the establishment and maintenance of protective measures that enable an organization to perform its mission or critical functions despite risks posed by threats to its use of systems. Protective measures may involve a combination of deterrence, avoidance, prevention, detection, recovery, and correction that should form part of the organization's risk management approach.
- L. "Sensitive Personal Data" means sensitive personal data as set forth in 31 C.F.R. § 800.241.
- M. "Subscriber Information" means any information of the type referred to and accessible subject to the procedures set forth in 18 U.S.C. § 2703(c)(2) or 18 U.S.C. § 2709, as amended or superseded.
- N. "U.S. Records" means the Parties' customer billing records, Subscriber Information, PII, Sensitive Personal Data, IPDRs, and any other information used, processed, or maintained in the ordinary course of business related to the services offered by the Parties in connection with FA-1 within the United States, including information subject to disclosure to a U.S. federal or state governmental entity under the procedures set forth in 18 U.S.C. §§ 2703(c)-(d) and 18 U.S.C. § 2709.
- O. "Wet Infrastructure" or "Wet Plant" means hardware components installed and residing on the undersea portion of FA-1, including fiber optic cables, repeaters, BUs, and routers (if any). Wet Infrastructure includes all the components used to define the topology of the undersea portion of FA-1.

P. “Wire Communication” has the meaning given it in 18 U.S.C. § 2510(1).

The Parties undertake to comply with the following commitments:

## **1. Security Officer**

The Parties agree FLAG or GCX will maintain a Security Officer (“Security Officer”) for purposes of this LOA. The POC will be a U.S. citizen residing in the United States and, to the knowledge of the Parties, will be eligible to hold a U.S. Government security clearance at the “Secret” level or higher. The Security Officer will possess the expertise and resources required to assess the physical and logical security of subsea cable systems; operations of FLAG and parents, affiliates and/or subsidiaries that use, monitor, and operate FA-1; FA-1 network engineering; and FA-1 network security. The Parties agree the Security Officer will possess the appropriate authority, reporting lines, independence, skills, and resources to ensure compliance with the terms of this LOA.

FLAG agrees to nominate a proposed Security Officer within **30 days** of the execution of this LOA. FLAG understands that the Security Officer nomination will be subject to CMA review and approval and may be subject to a background check at the sole discretion of the CMAs. In order to facilitate this, FLAG will provide the name, date of birth, place of birth, social security number, and passport number of the nominee, and will subsequently provide any other information requested by the CMAs.

The Security Officer will be available twenty-four (24) hours per day, seven (7) days per week, regarding any national security or law enforcement risks that the CMAs may raise with respect to FA-1. Upon CMA request, the Security Officer will make himself/herself available in person within the United States at a mutually agreeable date and location within **72 hours**, including in a classified setting as determined necessary. The Security Officer will be responsible for receiving and promptly responding to any inquiries or requests for information and for otherwise ensuring compliance with obligations set forth in this LOA.

FLAG agrees to notify the CMAs of any proposed change to the Security Officer at least **30 days** in advance of such proposed change (except in the case of the unexpected firing, resignation, or death of the Security Officer in which case such written notice must be provided within **five (5) days** of such event). FLAG understands that any proposed Security Officer nomination will be subject to CMA review and approval pursuant to this Section as outlined above.

## **2. Cable System Information**

Within **30 days** of the execution of this LOA, and, thereafter, within **30 days** upon CMA request, the Parties agree to make available the following FA-1 information:

- (a) Network management information, including as follows: (1) a network map that includes physical and logical topology, including any terrestrial backhaul from the cable landing stations to SLTE locations or other facilities housing FA-1 Principal Equipment; (2) network and telecommunications architecture descriptions and associated descriptions of interconnection points and controlled gateways to the DCI and Wet Infrastructure; (3) network operational plans, processes, and procedures; (4) locations and functions of any NOCs, data centers, Points of Presence (“PoPs”), and main distribution facilities; (5) locations from which any read or read/write Access to the FA-1 is possible (whether in any GCX parent, affiliate, subsidiary or vendor office or remotely); (6) an organizational chart, to include specific reference to the names and positions of senior officials responsible for operations of FA-1, and/or senior officials of any third parties performing such duties on behalf of the Parties; and (7) descriptions of interfaces and connections to FA-1 for service offload, disaster recovery, or administrative functions;
- (b) A complete and current list of all contracts held by FLAG or its designee(s), to include any contracts or agreements (formal or informal) with parents, affiliates, or subsidiaries of FLAG or GCX, for the maintenance, repair, and security of FA-1; and
- (c) A restoration plan for the Principal Equipment and the Wet Infrastructure for FA-1.

## **3. Operational Requirements**

With respect to the operation of FA-1, the Parties agree as follows:

- (a) FLAG will have the ability to promptly and effectively interrupt, in whole or in part, traffic to and from the United States on FA-1 by disabling or disconnecting circuits at the U.S. cable landing stations or at other locations within the United States; and
- (b) FLAG will configure all necessary systems to ensure it can suspend or interrupt the optical carrier signal or all communications functionality of FA-1.

If FLAG is required to interrupt traffic to or from the United States as a result of lawful U.S. process, FLAG will be permitted to disclose publicly that it was required to interrupt service in response to lawful U.S. process consistent with any limits on disclosure that may be imposed by such lawful U.S. process and without disclosing any of the content of such request.

Within **30 days** of the execution of this LOA, the Parties agree to confirm to the CMAs the NOC location(s) and the controller, operator, or manager for NOC(s) for CMA approval. The CMAs will approve or disapprove the locations and operators within **45 days** of receipt. The Parties agree to notify the CMAs of any proposed change to NOC location(s) or operator(s), to include the addition of new NOC locations, at least **45 days** in advance of such proposed change. The Parties understand the CMAs will approve or disapprove the new operator, location, or locations within **45 days** of receipt.

#### **4. Principal Equipment List**

Within **30 days** of the execution of this LOA, the Parties agree to provide the CMAs with a list to include:

- (a) A complete and current list of all Principal Equipment, including:
  - (1) a description of each item and the functions supported,
  - (2) each item's manufacturer, and
  - (3) the model and/or version number of any hardware or software; and
- (b) Any vendors, contractors, or subcontractors, to include parents, affiliates, or subsidiaries of FLAG or GCX, involved in providing, installing, operating, managing, repairing, or maintaining the Principal Equipment.

The Principal Equipment List will identify any changes to the list previously submitted to DHS on January 9, 2021. Objections to the Principal Equipment List will be handled pursuant to Section 8 of this LOA.

At the sole discretion of the CMAs, the Parties agree to supplement in writing the definition of Principal Equipment in Section I of this LOA to address subsequent technological developments with subsea systems.

#### **5. Modifications to Existing Principal Equipment**

The Parties agree to provide the CMAs at least **45 days'** advance notice prior to performing any maintenance, repair, or replacement that would result in any modification to the quantum, function, configuration, operation, or location of existing Principal Equipment for FA-1. With any such notice, the Parties may request that the CMAs waive the notice obligation of this Paragraph for substantially similar modifications in the future. For the avoidance of doubt, modifications requiring notice to the CMAs do not include routine software updates pushed through by approved vendors.

For any maintenance, repair, or replacement that is undertaken in response to an unforeseen or uncontrollable event and is necessary to ensure the continued operability of

FA-1, the Parties agree to provide advance notice to the CMAs of the modification, if practicable. Where providing notice is impracticable, the Parties will provide a detailed description of the equipment replaced and the circumstances surrounding the need to conduct such activity without prior notice within **ten (10) days** of the maintenance, repair, or replacement.

The Parties may continue to utilize any Principal Equipment maintained, repaired, or replaced pursuant to the process outlined in this Section, including in case of unforeseen or uncontrollable events, provided that the CMAs do not object pursuant to Section 8 of this LOA. In the event of such an objection, the Parties will not begin reliance upon, expand existing deployment of, or enhance the capabilities of any Principal Equipment to which the CMAs have objected, and the Parties agree to meet, confer, and otherwise attempt in good faith to resolve the CMAs' objection. Until any objection is resolved, the Parties will not upgrade, install, replace, or service any objectionable Principal Equipment without written authorization from the CMAs.

## **6. Change in Vendors, Contractors, or Subcontractors for Principal Equipment**

The Parties agree to provide at least **45 days'** advance notice prior to any addition to the list of vendors, contractors, or subcontractors, to include parents, affiliates, or subsidiaries of FLAG or GCX, involved in providing, installing, operating, managing, repairing, or maintaining the Principal Equipment for FA-1.

In addition, the Parties agree to provide at least **45 days'** advance notice prior to changing the service offerings or support from a previously-listed vendor, contractor, subcontractor, parent, affiliate, or subsidiary (*i.e.*, where a previously-listed provider will be offering support in a previously unidentified way).

Objections to any new vendor, contractor, or subcontractor, to include parents, affiliates, or subsidiaries of FLAG or GCX, for the Principal Equipment or the proposed service offerings thereof will be handled pursuant to Section 8 of this LOA.

## **7. Equipment Testing**

The Parties agree to provide at least **45 days'** advance notice prior to initiating the testing of any new Principal Equipment for FA-1 by any vendor not already on the approved Principal Equipment List. Objections to any testing proposed pursuant to this Section will be handled pursuant to Section 8 of this LOA.

The Parties agree to receive the approval of DOD prior to deployment of any distributed acoustic sensing technology onto the marine portion of FA-1. The Parties will provide notice to [osd.pentagon.ousd-a-s.list.team-telecom@mail.mil](mailto:osd.pentagon.ousd-a-s.list.team-telecom@mail.mil) prior to the deployment, with a courtesy copy to DHS.

## **8. Objection Resolution**

Within **90 days** of receipt of any notice provided by the Parties pursuant to Sections 4, 5, 6, or 7 of this LOA, the CMAs will provide written approval or else disapproval to the Parties of the matter or action described in such notice. If within the 90-day approval/disapproval period the CMAs seek additional information from the Parties, the approval/disapproval period shall be extended by the number of days the CMAs awaited the requested information. In the event of a disapproval by the CMAs, the Parties will not expand the existing deployment or enhance the capabilities of any Principal Equipment of which the CMAs have disapproved, and the Parties agree to meet, confer, and otherwise attempt in good faith to resolve the CMAs' disapproval. Until the CMAs' disapproval is resolved, the Parties will not upgrade, install, replace, or service any disapproved Principal Equipment without written authorization from the CMAs.

## **9. Measures to Prevent Improper Use and Unauthorized Logical Access**

The Parties agree to take practicable measures to prevent unauthorized logical Access to FA-1 and to prevent any unlawful use or disclosure of information being carried on the same, and the Parties will include these measures in the policies that they will develop and implement pursuant to this LOA. For purposes of this Section, such "practicable measures," at a minimum, include effectuating compliance with all applicable U.S. laws and regulations governing cybersecurity, information security, and privacy and will be measures consistent with best practices and guidelines, such as, but not limited to, the Cybersecurity Framework of the National Institute of Standards and Technology and 27001 Series standards of the International Organization for Standardization. These measures should also include items such as configuration management, security audits, and system interconnection documentation, as well as contractual safeguards and screening procedures for personnel with logical Access to the DCI.

The Parties agree that such practicable measures relating to FA-1 will also include, among other things, policies or plans relating to their information security, supply chain security, cybersecurity incident response, remote Access, cybersecurity, third-party contractors, outsourcing and offshoring, maintenance and retention of system logs, protection of lawful U.S. process, protection of U.S. Records obtained by the Parties in the ordinary course of business, and the Parties' plans regarding new contracts or amendments to existing contracts with third-party providers with Access to U.S. Records related to FA-1 that requires those third parties to notify the Parties in the event of unauthorized Access to or disclosure of U.S. Records within a specified time period after discovery, not to exceed 72 hours from the time of discovery, unless the CMAs grant a waiver.

The Parties agree to take appropriate measures to protect and promote resiliency of FA-1, including measures to ensure that security patches for systems and applications are up to date.

The Parties agree to maintain or exceed security standards and best practices utilized within the U.S. telecommunications industry for maintenance of password systems and

firewalls, monitoring and oversight of logical Access to FA-1, maintenance of non-destructive logical Access logs, and periodic internal audits of network security and associated network devices.

The Parties agree to submit a policy regarding logical security measures adopted in accordance with the requirements of this Section to the CMAs within **90 days** of the date of execution of this LOA. The Parties agree that the policy will be updated when appropriate to conform with evolving information security standards and that the Parties will make additional modifications to the policy, if requested by the CMAs, and work with the CMAs to implement such modifications. The CMAs will approve or disapprove the policy within **90 days** of receipt of any such policy.

## **10. Physical Security Measures**

The Parties agree to take practicable measures to physically secure FA-1, including the DCI, Principal Equipment, and Wet Infrastructure. The Parties will screen appropriate personnel in accordance with Section 11 of this LOA below, and the Parties will require that all persons who physically Access the DCI are escorted at all times by Screened Personnel, as defined herein.

The Parties agree to submit a policy setting forth their physical security measures to the CMAs within **90 days** of the date of execution of this LOA. The CMAs will approve or disapprove the policy within **90 days** of receipt of such policy.

Within **30 days** of the date of execution of this LOA, and thereafter within **5 days** of CMA request, FLAG will submit a list of all vendors, contractors, foreign persons, or other entities (to include parents, affiliates, or subsidiaries of FLAG or GCX) that have been granted unescorted physical Access to any FA-1 DCI or Principal Equipment, identifying the applicable facilities to which such persons, vendors, contractors, or entities have been granted unescorted Access (“Unescorted Physical Access List”). The CMAs may object to any foreign persons, vendors, contractors, or other entities on the list and will do so within **90 days** of receipt. In the event of any such objection, FLAG agrees to prohibit such persons, vendors, contractors, or entities from any further unescorted physical Access to the DCI or Principal Equipment. FLAG will notify the CMAs at least **45 days** in advance of granting Unescorted Physical Access to any new vendors, contractors, or other entities for CMA approval. As detailed in Section 11, in advance of granting Unescorted Physical Access to new persons, the Parties will screen all persons and submit foreign persons for CMA approval.

## **11. Screening of Personnel**

The Parties agree to implement, either directly (including through an affiliate) or through a vendor or service provider, a process to screen any existing or newly-hired personnel (this should include any person with the Access or responsibility described below, even

personnel of a parent, affiliate, subsidiary, vendor, contractor, or subcontractor) in, at minimum, the following circumstances:

- (a) Any person whose position could involve logical Access to the DCI or Unescorted Physical Access, and
- (b) Any person charged with securing the DCI.

The Parties' personnel screening process will be reflected in a written policy and will include background investigations, public criminal records checks, or other analogous means to ascertain a person's trustworthiness. Upon satisfactory completion of the requirements set forth in the screening policy, such persons will be considered "Screened Personnel."

The Parties agree to submit the screening policy to the CMAs within **90 days** of the execution of this LOA. The CMAs will approve or disapprove the policy within **90 days** of receipt of such policy. The Parties agree to cooperate with any request by the CMAs to provide additional identifying information regarding Screened Personnel.

Within **30 days** of CMA approval of the Screening Policy, and thereafter within **5 days** of CMA request, the Parties agree to submit a list of all foreign Screened Personnel to the CMAs. Such list will include: (1) full name (last, first, middle name); (2) all other names and aliases used; (3) all countries of citizenship; (4) residence address; (5) work address; (6) country and city of residence; (7) date of birth; (8) place of birth; (9) U.S. Social Security number (where applicable); (10) national identity number, including nationality, date and place of issuance, and expiration date (where applicable); (11) U.S. or foreign passport number (if more than one, all must be fully disclosed); (12) systems/networks to which the individual has Access if any; (13) type of Access (i.e., read only, read/write); and (14) location from where the individual has such Access. The CMAs will approve or disapprove each person listed on each Screened Personnel list within **60 days** of receipt. The Parties will notify the CMAs at least **30 days** prior to any addition to the Screened Personnel list for CMA approval.

## **12. Reporting Incidents and Breaches**

The Parties agree to report to the CMAs within **48 hours** if they learn of information that reasonably indicates:

- (a) Unauthorized third-party Access to, or disruption or corruption of, FA-1 or any information being carried on FA-1,
- (b) Any other unauthorized Access to or disclosure of Domestic Communications on FA-1 in violation of federal, state, or local law,
- (c) Any material breach of the commitments made in this LOA, including a violation of any approved plan, policy, or procedure under this LOA,

- (d) Any unauthorized Access to, or disclosure of, information obtained from or relating to government entities in connection with FA-1, or
- (e) Any one or more of the following which affect the Parties' computer network(s) or associated information systems in connection with FA-1:
  - (1) Unauthorized disruptions to a service or denial of a service,
  - (2) Unauthorized processing or storage of data,
  - (3) Unauthorized modifications to system hardware, firmware, or software, including the identification of vulnerabilities introduced through a cyber supply chain compromise,
  - (4) Unplanned incidents that cause activation of the Parties' Cybersecurity Incident Response Plans,
  - (5) Attempts from unauthorized sources to Access systems or data if these attempts to Access systems or data may materially affect the Parties' ability to comply with the terms of this LOA, or
  - (6) An unauthorized occurrence that (A) actually or imminently jeopardizes the integrity, confidentiality, or availability of information or an information system; or (B) constitutes a violation or imminent threat of violation of law, security policies, security procedures, or acceptable use policies.

The Parties agree to require any of their third-party service providers for FA-1 to disclose to the Parties any security breach in connection with FA-1, whether from data breach or other cause, within 72 hours of the third party discovering the breach, unless the CMAs grant a waiver. The Parties further agree to require any of their third-party service providers for FA-1 to disclose to the Parties, within 48 hours of discovery, unless the CMAs grant a waiver, any critical exposure, threat, and vulnerabilities activating their Cybersecurity Incident Response Plans, associated with the products or services provided to the Parties, including as a result of tainted software, introduction of malware, insertion of counterfeits, unauthorized production, tampering, theft, or insertion of malicious software and hardware, as well as poor development and manufacturing practices in the cyber supply chain.

Upon CMA request, the Parties agree to submit in writing a follow-up report describing in greater detail the incident or breach and the Parties' steps to remediate the incident or breach to the CMAs within **15 days** of discovery of the relevant conduct. The Parties also agree to submit in writing supplementary information regarding any follow-up report until such evaluation is complete. The Parties agree to remediate any incidents or breaches reported pursuant to this provision to the satisfaction of the CMAs.

The Parties further agree to take timely and appropriate remedial measures, as recommended by the Cybersecurity and Infrastructure Security Agency, Sector Risk Management Agency, or other authority, to respond and recover from any cyber or supply chain incident and mitigate vulnerabilities.

### **13. Instruction of Obligations**

The Parties agree to instruct appropriate officers, employees, contractors, and agents as to the Parties' obligations under this LOA, including the individuals' duty to report any violation thereof, and to issue periodic reminders of such obligations.

The Parties agree to issue initial instructions in writing and provide appropriate live or virtual training within **90 days** of the execution of this LOA, and the Parties agree to submit a copy of such instructions to the CMAs at the same time. The Parties agree to issue updated instructions or training annually thereafter.

### **14. Change in Services or Cable Operations**

The Parties agree to notify the CMAs in writing at least **45 days** prior to implementing any changes to the operations of FA-1 as they previously have been disclosed in writing to the CMAs pursuant to this LOA. The Parties agree to provide a detailed description of the proposed change including the terms, conditions, individuals and/or entities involved in making the change to the operations of FA-1.

### **15. Change in Control**

If the Parties learn of any information that reasonably indicates that any single foreign entity or individual, other than those already identified, has or likely will obtain an ownership interest, whether direct or indirect, in the Parties or FA-1 above ten (10) percent, or if any foreign entity or individual, singly or in combination with other foreign entities or individuals, has or likely otherwise will gain either: (i) control, within the meaning of the definition set forth in 47 C.F.R. § 63.09(b); or (ii) *de facto* or *de jure* control of the Parties or FA-1, then the Parties agree to provide notice in writing of same to the CMAs within **30 days**. Notice under this Section will, at a minimum:

- (a) Identify the entity or individual(s) acquiring control (specifying the name, addresses, and telephone numbers of the entity or individual(s)),
- (b) Identify the beneficial owners of any such increased or prospective increased ownership interest in the Parties or FA-1 by the entity or individual(s) (specifying the name, addresses, and telephone numbers of each beneficial owner), and
- (c) Quantify the amount of ownership interest that the entity or individual(s) has or likely will obtain in the Parties or FA-1 and, if applicable, the basis for its prospective control of the Parties or FA-1.

## **16. Annual Report**

On the anniversary of the date of this LOA, the Parties agree FLAG will submit to the CMAs a report assessing the Parties' compliance with the terms of this LOA for the preceding year. The report shall include:

- (a) The names and contact information of the Security Officer,
- (b) Cable System Information, as described in Section 2 above, noting any changes during the reporting period,
- (c) An updated Principal Equipment List containing all information described in Section 4 above, identifying any modifications during the reporting period,
- (d) A copy of the then-current policies adopted in accordance with this LOA, including policies for logical security (Section 9), physical security (Section 10), personnel screening (Section 11), incident reporting (Section 12), and employee training (Section 13), and a summary of any changes during the reporting period and the reasons therefor,
- (e) Updated list of all foreign Screened Personnel, noting any changes to the list,
- (f) Updated Unescorted Physical Access List, noting any changes to the list,
- (g) A summary of any events that occurred during the reporting period that will or reasonably could impact the effectiveness of or compliance with this LOA, and
- (h) A summary of any known acts of noncompliance with the terms of this LOA that occurred during the reporting period, whether inadvertent or intentional, with a discussion of what steps have been or will be taken to prevent such acts from occurring in the future.

## **17. Third-Party Audit**

At their sole discretion, but no more frequently than once every calendar year unless the original audit is found by the CMAs to have been unsatisfactory, the CMAs may request a third-party audit of the Parties' compliance with the terms of this LOA (including any plan, policy, or procedure adopted and/or approved under this LOA) and/or FLAG or GCX's compliance with any previous LOA regarding FA-1. In connection with the audit:

- (a) Within **60 days** of the CMAs requesting a third-party audit, the Parties will nominate two (2) third-party auditors, subject to CMA approval. Within **60 days**

of the nominations, the CMAs will approve or disapprove the nominated third-party auditor firms.

- (b) If the CMAs disapprove of either of the nominated third-party auditors, the Parties agree to nominate another third-party auditor within **30 days** of such objection. If the CMAs disapprove the nomination of a supplemental third-party auditor, the Parties will provide to the CMAs three (3) additional candidates within **30 days** to be considered for third-party auditor, from which the CMAs may choose at their discretion.
- (c) As part of the auditor nomination and approval process, the CMAs may condition approval of a nominated auditor on the Parties providing information regarding the Parties' and the nominated auditor's pre-existing relationship (if any).
- (d) The Parties will be solely responsible for any costs associated with any third-party audit carried out pursuant to this Section. The CMAs, however, will consider avoidance of unreasonable costs as a factor when exercising their rights under this Section.
- (e) The Parties will ensure the selected third-party auditor submits, prior to commencing the audit, a methodology and proposed scope of audit, both of which will be subject to CMA approval.
- (f) The Parties will ensure that the executed engagement agreement with the third-party auditor is provided to the CMAs within **five (5) days** of execution.
- (g) The third-party auditor will promptly deliver to the CMAs and the Parties all reports and related information generated or gathered during its review that relate directly to the Parties' compliance with the terms of this LOA and agrees to meet independently with the CMAs upon request.

## **18. Consultation and Visitation**

The Parties agree to meet and confer with the CMAs and to resolve to the satisfaction of the CMAs any concerns the CMAs may raise regarding compliance with this LOA.

The Parties agree to negotiate in good faith to resolve to the satisfaction of the CMAs any national security or law enforcement concerns the CMAs may raise with respect to any matters set forth in this LOA.

The Parties agree that, upon **48 hours'** advance notice, except when due to exigent circumstances such advance notice is not practicable, the CMAs may visit any Party that is or has been used for discharging the Parties' obligations under this LOA or FA-1 facilities to conduct on-site reviews to verify the implementation of and compliance with

the terms of this LOA. Subject to applicable law and consistent with security requirements, during such visits the Parties will cooperate with CMA requests to make available documents, information, facilities, and personnel necessary to verify compliance with the terms of this LOA on the understanding that when advance notice of a visit is not provided, the Parties will provide the CMAs with access to documents, information, facilities, and personnel within **24 hours** of such an access request.

## **19. Computing Time**

In computing any time period pursuant to this LOA, the below rules apply.

- (a) For any period stated in days:
  - i. the day of the event that triggers the period is excluded,
  - ii. every day thereafter is counted, including intermediate Saturdays, Sundays, and federal holidays, except for those days that are tolled pursuant to Section 19(c), and
  - iii. the last day of the period is included, but if the last day is a Saturday, Sunday, or federal holiday, the period continues to run until the end of the next day that is not a Saturday, Sunday, or federal holiday.
- (b) For any period stated in hours:
  - i. begin counting immediately on the occurrence of the event that triggers the period,
  - ii. count every hour, including hours during intermediate Saturdays, Sundays, and federal holidays, except for those hours that are tolled pursuant to Section 19(c), and
  - iii. if the period would end on a Saturday, Sunday, or federal holiday, the period continues to run until the same time on the next day that is not a Saturday, Sunday, or federal holiday.
- (c) Any approval provision applicable to the CMAs pursuant to this LOA shall be tolled during a lapse in appropriations or any time when the Federal government in the greater Washington, D.C. area is closed.

## **20. Notification of License Non-Issuance**

If, for whatever reason (denial, withdrawal, or other such circumstances), the Parties become aware that the application is no longer pending before the FCC without having

been granted, then the Parties shall within 24 hours notify the CMAs of such development.

## **21. General Provisions**

All communications, including notifications and reporting, made pursuant to this LOA shall be made to:

- (a) [Melissa.Figueroa@associates.hq.dhs.gov](mailto:Melissa.Figueroa@associates.hq.dhs.gov) and [compliance@hq.dhs.gov](mailto:compliance@hq.dhs.gov), or any other contacts as designated by DHS, and
- (b) [Osd.pentagon.ousd-a-s.list.team-telecom@mail.mil](mailto:Osd.pentagon.ousd-a-s.list.team-telecom@mail.mil), or any other contacts as designated by DOD.

This LOA shall inure to the benefit of, and shall be binding upon, the Parties and their successors, assigns, subsidiaries, and affiliates.

The Parties agree that, in the event that any of the Parties breaches the commitments set forth in this LOA, the CMAs may recommend that the FCC modify, condition, revoke, cancel, terminate, enter other declaratory relief, or render null and void any relevant license, permit, or other authorization granted by the FCC to FLAG or any successors-in-interest, in addition to pursuing any other remedy available at law or equity.

If, after this LOA takes effect, the Parties fail to receive a license from the FCC (whether due to denial, withdrawal, or other such circumstances), the CMAs and the Parties agree that this LOA automatically terminates.

If, after this LOA takes effect, the CMAs or the Parties believe that changed circumstances warrant modifying or terminating this LOA (including if the CMAs determine that the terms of this LOA are inadequate or no longer necessary to address national security or law enforcement risks), the Parties and the CMAs agree to negotiate in good faith to modify this LOA. Rejection of a proposed modification shall not alone be dispositive, but, consistent with Executive Order 13913, failure to resolve national security or law enforcement concerns may result in a recommendation that the FCC modify, condition, revoke, cancel, terminate, or render null and void any relevant license, permit, or other authorization granted by the FCC to FLAG or its successors-in-interest, or any other appropriate enforcement action required to address the risks. This LOA may only be modified or terminated by written agreement signed by the CMAs and the Parties.

Nothing in this LOA is intended to excuse the Parties from their obligations to comply with all applicable legal requirements and obligations, including all applicable statutes, regulations, requirements, or orders.

For and on behalf of FLAG and GCX

DocuSigned by:

*Carl Grivner*

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For 3i Infrastructure plc



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